Customer Innovation

PROPOSAL

Usage-based pricing tier for small teams

Project	Customer Innovation
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Summary

Add a **Starter** tier for teams of up to ten people, billed by active seats each month instead of the annual Team plan.

Problem

Small teams trial the product and leave at the paywall: the Team plan is annual and starts at 25 seats.

- 61% of trials from teams under ten don’t convert
- Sales spends a third of its calls on discount requests from small teams

Solution

A monthly Starter tier:

1. Pay for the seats used in the month, from 2 to 10
2. The same features as Team, without SSO and audit export
3. One click to move to Team when they grow

Market & users

About 4,800 small teams trial us each year. Competitors with a monthly tier convert 18–24% of them.

Cost & effort

Work	Weeks
Billing changes	3
Plan limits	2
Pricing page and emails	1

Benefits / revenue

At a 15% conversion: about 720 new teams and **£410k** in the first year, with a path into Team.

Risks

Some Team customers under ten seats may downgrade. We limit the tier to new accounts for the first two quarters.

Next steps / the ask

Approve a two-quarter pilot in the UK and Ireland, with a go/no-go review at the end of Q2.